East African Cables

EAST AFRICAN CABLES LIMITED

EXTRACTS OF MINUTES OF THE BOARD OF DIRECTORS' MEETING OF EAST AFRICAN CABLES LIMITED HELD AT THE COMPANY'S PREMISES, ADDIS ABABA ROAD, INDUSTRIAL AREA, NAIROBI ON MONDAY 28TH AUGUST, 2017 AT 8.00 A.M

At the Board of Directors' Meeting held on 28th August, 2017, **IT WAS UNANIMOUSLY RESOLVED** as follows:

1. Appointment of a Director

THAT Cable Holdings (Kenya) Limited, Company Registration No. 88135 be and is hereby appointed as a Corporate Director of the company with effect from 28th August, 2017.

2. Resignation of the Chief Executive Officer

THAT the resignation of Peter Arina as the Chief Executive Officer of the Company with effect from 31st August 2017 be and is hereby accepted.

3. Appointment of Acting Chief Executive Officer

THAT the appointment of Mr Paul Muigai as the Acting Chief Executive Officer of the company with effect from 28th August, 2017 be and is hereby accepted.

It was further **RESOLVED THAT** the requisite notifications to the Capital Markets Authority and the Nairobi Securities Exchange and the public announcement in relation to the above changes be made within the stipulated period. The public announcement will be subject to approval by the Capital Markets Authority.

CERTIFIED TRUE EXTRACT

Chairman / Director

Director/Company Secretary

2009/11 Superbrands East Africa's Choice

DIAMOND MARK OF QUALITY

SYSTEM CERTIFICATION ISO 9001: 2008 SGS

Addis Ababa Road, P.O Box 18243, 00500 Nairobi Kenya
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Fax: +254 20 559310/551789
Website.www.eacables.com

East African Cables

Our Ref: EAC/MD-FA/076/08/17

28 August 2017

By Fax No. 2224200

Geoffrey Odundo
Chief Executive Officer
Nairobi Securities Exchange
55 Westlands Road
NAIROBI

Dear Mr. Odundo,

RE: 2017 HALF YEAR UNAUDITED GROUP RESULTS

Enclosed herewith are the unaudited group results for the half year ended 30 June 2017 which will be published in the local dailies tomorrow 29 August 2017.

Yours sincerely
East African Cables Ltd

PArina

PETER ARINA
CHIEF EXECUTIVE OFFICER

Encl.

2009/11 Business Superbrands East Africa's Choice

DIAMOND MARK OF QUALITY

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East African Cables
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INTERIM FINANCIAL STATEMENTS
UNAUDITED GROUP RESULTS FOR THE SIX MONTHS ENDED 30TH JUNE 2017

The Board of Directors of East African Cables Ltd announces the unaudited results for the six months ended 30th June 2017

Condensed Statement of Comprehensive Income for the six months ended 30 June 2017

	Group 2017 Kshs'000	Group 2016 Kshs'000	Company 2017 Kshs'000	Company 2016 Kshs'000
Turnover	**1,470,026**	**2,102,282**	**1,321,261**	**1,926,425**
(Loss) / Profit from operating activities	(221,046)	7,699	(136,629)	99,911
Interest expense	(97,223)	(87,768)	(80,532)	(87,768)
Foreign exchange (losses) / gains	(13,357)	33,871	5,623	42,431
(Loss) / Profit before tax	**(331,806)**	**(46,198)**	**(211,538)**	**54,574**
Income tax credit / (expense)	99,359	14,733	63,461	(16,375)
(Loss) / Profit for the period	**(232,447)**	**(31,465)**	**(148,076)**	**38,199**
(Loss) /Profit from operations attributable to:				
Equity holders of parent company	(191,223)	2,951	(148,076)	38,199
Non-controlling interest	(41,224)	(34,416)	-	-
(Loss) / Profit for the period	**(232,447)**	**(31,465)**	**(148,076)**	**38,199**
Basic and Diluted Earnings per share (Kshs)	**(0.76)**	**0.01**	**(0.58)**	**0.15**

Condensed Statement of Financial Position as at 30 June 2017

	Group 2017 Kshs'000	Group 2016 Kshs'000	Company 2017 Kshs'000	Company 2016 Kshs'000
Assets				
Non-current assets	5,163,566	5,442,354	3,665,165	3,632,124
Current assets	2,126,742	2,569,071	1,924,546	2,404,418
Total assets	**7,290,308**	**8,011,425**	**5,589,711**	**6,036,542**
Equity and liabilities				
Share Capital	126,563	126,563	126,563	126,563
Reserves	1,670,749	2,319,197	1,274,972	1,790,323
Non-controlling interest	522,159	656,340	-	-
Non-current liabilities	1,371,634	1,976,540	1,194,793	1,692,173
Current liabilities	3,599,203	2,932,785	2,993,383	2,427,483
Total equity and liabilities	**7,290,308**	**8,011,425**	**5,589,711**	**6,036,542**

Condensed Statement of Cash flows for the six months ended 30 June 2017

	Group 2017 Kshs'000	Group 2016 Kshs'000	Company 2017 Kshs'000	Company 2016 Kshs'000
Cash (used) / generated from operations	(74,436)	287,878	(83,620)	294,770
Income taxes paid	-	-	-	-
Cash (used) / generated from operating activities	**(74,436)**	**287,878**	**(83,620)**	**294,770**
Cash used in investing activities	(18,443)	(184,555)	(15,620)	(167,543)
Cash generated from / (used in) financing activities	113,579	(40,990)	123,432	(68,683)
Increase in cash and cash equivalents	**20,700**	**62,333**	**24,192**	**58,544**
Cash and cash equivalent at 1 January	45,186	(88,820)	29,036	(91,813)
Cash and cash equivalent at 30 June	**65,886**	**(26,487)**	**53,228**	**(33,269)**

Condensed Statement of Changes in Equity for the six months ended 30 June 2017

	Group 2017 Kshs'000	Group 2016 Kshs'000	Company 2017 Kshs'000	Company 2016 Kshs'000
Share capital	126,563	126,563	126,563	126,563
Share premium	545	545	545	545
Revaluation reserve	1,712,620	1,712,620	1,065,943	1,065,943
Revenue reserve	65,476	714,375	208,484	723,835
Exchange reserve	(107,892)	(108,343)	-	-
Total equity attributable to equity holders of company	1,797,312	2,445,760	1,401,535	1,916,886
Non-controlling interest	522,159	656,340	-	-
Total Equity	**2,319,471**	**3,102,100**	**1,401,535**	**1,916,886**

Commentary

East African Cables hereby announces its financial results for the six months ending 30th June 2017. Contracted business grew by 11% buoyed by regional electrification projects and the Group's strategic focus to utilize installed capacity in our aluminium plant. However, the non-contracted business segment experienced a 30% drop in revenues hampered greatly by continued constraint in accessing working capital lines. The heavy capital investment that resulted in tripling of installed capacity led to greater need for working capital financing but access to finance was affected by reduced lending appetite following the introduction of rate caps.

The company continues to pursue innovative financing structures in line with a comprehensive capital restructure program that is underway to address the working capital gaps.

Dividend

The Board of Directors do not recommend payment of an interim dividend.

Outlook

A robust order book, the increased investment in power infrastructure across the region, and the already installed capacity in our plants, positions the company favorably to return to profitability. The ongoing capital restructure and continued focus on cost management, lean inventory management, cash or near cash sales and enhanced value proposition to our customers will fast track our recovery efforts.

By Order of the Board
Virginia Ndunge
Company Secretary
Nairobi
28th August, 2017